

anyway. Accidents in which no one can be proven negligent won't be covered by liability insurance, and liability insurance will not cover your own injuries in accidents that you've caused. If you already have good general health insurance, you won't need medical payments insurance to cover your own medical bills, but you may still want to consider purchasing it if you often have passengers in your car.

- **Collision and comprehensive coverage.** Collision insurance pays for damage to your car if you bang it into something, like a tree, your garage door, or another car. Comprehensive insurance covers damage caused by fire, flood, theft, tornado, and just about any other physical damage that's not covered by collision. In all states, both these types of coverage are optional. However, if you took out a loan to buy your car or if you're leasing, the lender or leasing company will require that you purchase collision and comprehensive coverage.

The maximum amount an insurance company will pay under a collision or comprehensive policy is, at least in theory, the cost of replacing the car with a comparable used one.

(Unfortunately, some insurers aren't this generous.) After your car is about five years old or you've paid off your loan, you may want to consider dropping your collision and comprehensive coverage. To decide whether it makes sense to continue this coverage, figure out the value of your car (at the Kelley Blue Book website: www.kbb.com) minus the deductible. Compare that number to your annual premium.

BABY, YOU CAN'T DRIVE MY CAR

It may seem like no big deal, but when someone asks to borrow your car you should think twice before saying yes. If you allow someone to drive your car and he or she has an accident, *your* insurer is likely to pay for the damage (less any deductible you have